

Key metrics

ROE

18.8%

ROCE

4.4%

Net profit margin

26.3%

Debt / Equity

3.82

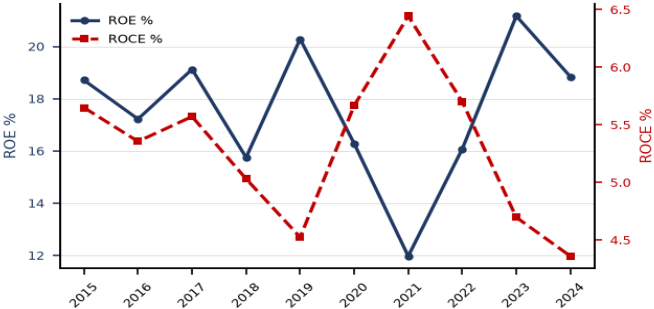
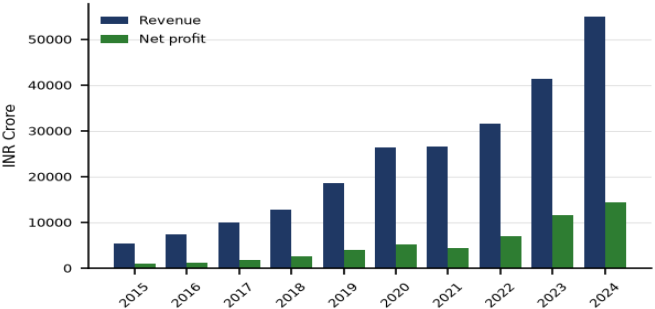
Revenue CAGR 5y

24.4%

Free cash flow

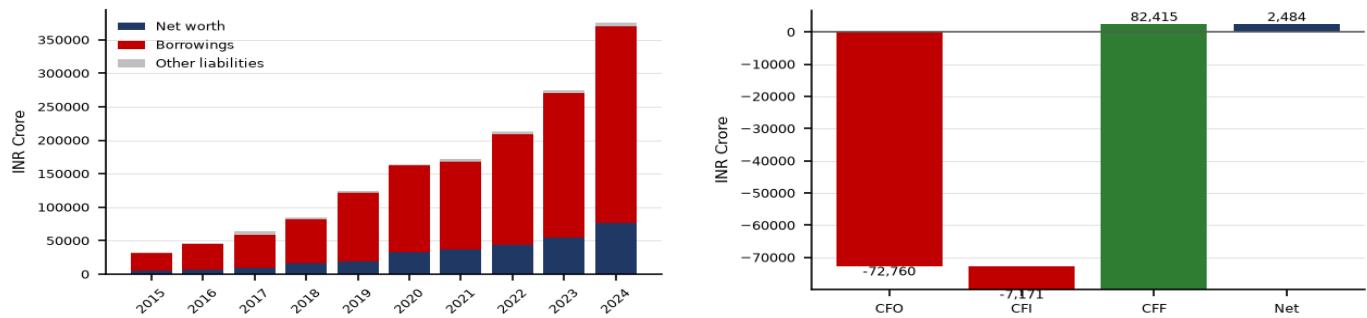
-79,931 Cr

Revenue, profit and returns



Latest period Mar 2024. 10 years of history available. All figures in INR Crore.

Balance sheet and cash flow



Capital allocation: Growth Funded by Debt

Pros

- Very high interest coverage ratio reflects negligible financial stress from debt servicing (100%)
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (85%)
- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum (85%)
- Net profit compounding at above 20% over 5 years creates significant shareholder value (79%)
- Revenue growing slower than profits shows improving operating leverage and scale benefits (73%)

Cons

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality (100%)
- Net debt at 16.3 times EBITDA is a high leverage ratio and limits financial flexibility (100%)
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure (85%)
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital (83%)

Pros and cons are generated from the Sprint 5 rule engine. Percentages are rule confidence, not probability of outcome. Valuation inputs are simulated data.